M365-20 · License Assignment, Reclamation & Cost Attribution

Who gets which licence, how it is assigned by rule rather than by hand, and how it comes back.

Field	Value
Document ID	M365-20
Version	1.0 · Known Good edition, by Kevin Zelman
Catalogue domain	A. Microsoft 365
Operating tier	Tier 4 — IT Management owns the licence position; Tier 2 assigns.
Review cycle	Annually, and at every renewal.

1. Purpose

Licences are one of the organization's larger recurring technology costs and one of the easiest things to lose track of. This document says who gets what by default, how that is assigned automatically, and how a licence comes back when it is no longer needed — which is the half that does not happen by itself.

2. Assignment by rule, not by hand

> **Licences are assigned by group membership derived from the HR and user system of record, not by a person clicking.**
>
> Hand-assignment produces two failures reliably: new starters without a licence on day one, and leavers keeping one for months. Both are invisible until somebody counts.
>
> Group-based licensing means the licence follows the person's status in the system of record. Somebody becomes staff, they get the staff licence; they leave, it comes back — without anybody remembering.
>
> This is the same argument as ACC-02 §4.3, applied to cost instead of access, and it is the reason ACC-01 Rule 1 matters beyond identity.

Exceptions to rule-based assignment are recorded and reviewed. An estate where most licences are hand-assigned has no rule, only a habit.

3. Who gets what

Population	Default licence	Assigned by	Notes
Employees and full-time staff	The standard staff licence	Rule, from the HR and user system of record employment status	The reference case.
Part-time and fixed-term staff	As above, for the duration of the contract	Rule, from the contract end date	Reclaimed 30 days after the engagement ends if not renewed (ACC-01 §3).
Frontline and occasional users	A lighter licence suited to the role	Rule, from the HR and user system of record	Often the largest population and the lowest cost per person.
Temporary workers	Uses the licence they already hold	No separate licence	Under ACC-02 Option B, no additional licence at all — which is one of the arguments for it.
Guests	None	—	Guests are not licence holders (ACC-10 §5).
Vendors and contractors	Minimum for the function, time-boxed	Request	ACC-11.
Service accounts	Minimum required	Request	ACC-08. Frequently none is needed.
Administrative identities	Minimum required; no full productivity licence	Request	ACC-07 §3 — a full licence invites the account to be used for daily work.
Departed staff, within retention	None — mail held as shared or inactive; files moved to SharePoint	Reclaimed after both are confirmed	§5. This is the important row.

Specific SKU names are deliberately not stated. They change at renewal, and a document naming a superseded SKU is a document people stop trusting. The rule is stated by population; the current SKU lives in the licence register.

4. Requesting something beyond the default

1. The request names the person, the additional entitlement, the business reason, and how long it is needed.
2. The requester's manager approves, because it is a cost against the organization.
3. Tier 2 checks whether the need is already met by something the person has. A surprising share of requests are for a capability already included.
4. Where the cost is material, Tier 4 approves and it is attributed per §6.
5. Additional entitlements carry a review date. Anything granted permanently should have been a default (§3) rather than an exception.

5. Reclamation — and the two-year problem

> **The two-year retention floor and licence reclamation must not be coupled — but mail and files decouple differently.**
>
> Suppose your organization sets mailbox and OneDrive retention at a minimum of two years after separation, with no maximum. Implemented naively — by leaving the account licensed — that means the organization pays for a licence for every person who ever left, forever. That is an unbounded and entirely avoidable cost. So the floor has to be met without a licence.
>
> MAIL DECOUPLES CLEANLY. A shared mailbox needs no licence below 50 GB, and an inactive mailbox held by a Microsoft 365 retention policy survives licence removal indefinitely. Reclaim the licence; the mail stays.
>
> FILES COST SOMETHING. An unlicensed OneDrive is read-only after 60 unlicensed days, archived on its 93rd, and beyond that carries a deletion risk on a cumulative 365-day nonpayment clock. Retention policies and holds are honoured through the archived state only while archive billing is enabled. Reassigning the site owner does not exempt it — enforcement does not use the owner property to validate licensing, and changing it is an unsupported state. So reclaiming a licence does not by itself preserve a OneDrive; it starts a clock, and stopping the clock costs either a configuration change or money.
>
> THEREFORE, reclamation is sequenced, not simultaneous: mailbox made shared or inactive under hold; OneDrive institutional records MOVED to the departmental SharePoint site inside the 30-day manager window; content verified present; only then the licence removed. Appendix A is that sequence as a checklist, and its verification lines are not ceremonial. Where the move genuinely cannot be made, the paid alternatives and their costs are in M365-16 §5 and require a Tier 4 cost decision per instance.
>
> Check these limits and timings against Microsoft Learn before you rely on them; they change. If your tenant is an education or nonprofit tenant, check whether this enforcement applies to you at all (ACC-01 §9.2), because an exclusion removes the file-side cost from this section entirely. Confirm the mailbox behaviour on a test account regardless — including, if your organization is still in Exchange hybrid, the on-premises Set-RemoteMailbox -Type Shared step, without which directory sync reverts the conversion and the mailbox contents can be permanently lost within 30 days.

5.1 When a licence comes back

- On separation, once retention is delivered by policy rather than by licence — and confirmed, per the callout above.
- On a role change where the new role does not carry the entitlement (ACC-01 §6.2).
- At the end of the engagement for part-time staff not renewed, automatically.
- At the review date for anything granted as an exception under §4.
- At contract end for vendors and contractors.
- At the annual review, where an assigned licence has not been used (§7).

6. Cost attribution

- Baseline licensing for everyone with a mailbox is a central IT cost and is not attributed to departments. Charging a department for a member of staff having email produces arguments and no better decisions.
- Additional entitlements requested under §4 are attributed to the requesting department, so that the cost is visible where the decision is made.
- Vendor and project licensing is attributed to the project or contract that requires it.
- IT reports the position annually rather than billing monthly. Visibility changes behaviour; internal recharge mostly changes paperwork.

7. The annual position

1. Reconcile assigned licences against the populations in §3. Anything assigned outside a rule is either an exception with a record or an error.
2. Identify assigned but unused licences — no sign-in in 90 days. Each is either a reclamation or a person who has quietly left a process.
3. Identify people with entitlements beyond their default and confirm each is still needed.
4. Confirm no departed person is still consuming a licence (§5).
5. Produce the position for the renewal conversation: headcount by population, licences assigned, licences unused, and the delta against last year.
6. Report to Tier 4 with the GOV-06 annual pack.

8. Service levels

Activity	Commitment (per GOV-06)
New starter licence	By rule, before the start date (ACC-01 §5.2).
Additional entitlement, approved	P3 — 3 coverage days.
“I do not have access to X”, where the cause is licensing	P2 at Tier 2 — the person is blocked.
Reclamation on separation	With the ACC-01 leaver procedure, after retention is confirmed.
Annual position for renewal	Produced by Tier 4 ahead of the renewal date, not during it.

9. Records

Record	Held in	Retention
Licence register: population, current SKU, rule, count	IT register	Live
Exceptions: person, entitlement, reason, approver, review date	IT register	Life of the exception + 3 years

Record	Held in	Retention
Verification that content survives reclamation	Project record	Permanent — it underpins ACC-01 §7.3
Annual reconciliation and renewal position	IT governance record	7 years

10. Related documents

ID	Title	Relationship
Software Policy	Your organization's software policy	Governs software procurement generally; DEV-11 operationalises it.
ACC-01	Account Lifecycle	§5.2 assignment, §7.3 retention, and §9.2 — the verification this document depends on.
ACC-02	Account Naming Standard	§4.4 — the licence-cost argument for Option B.
ACC-07 / ACC-08 / ACC-10 / ACC-11	Admin / service / guest / vendor standards	The non-standard rows of §3.
M365-01	Microsoft 365 Service Description	What each licence provides.
M365-02	Exchange Online Mailbox Standard	Mailbox size follows the licence.
M365-16	Retention, Legal Hold & eDiscovery	How retention is delivered without a licence.
M365-21	Tenant Configuration Change Control	Licensing rule changes.
DEV-11	Software Request, Approval, Licensing & Deployment	Non-Microsoft software.

Appendix A — Reclamation checklist

Run with the ACC-01 leaver procedure. The order matters.

✓	Step	Evidence
☐	Separation processed, sign-in disabled	ACC-01 §7.2
☐	Mailbox converted to shared, OR retention hold applied and mailbox made inactive	Method recorded. A hold must be applied BEFORE the licence goes — an unlicensed mailbox is not searchable.
☐	If Exchange hybrid: Set-RemoteMailbox -Type Shared run on-premises	Command + date. Skipping this reverts the conversion and can destroy the mailbox within 30 days.
☐	Password reset and sign-in blocked on the converted mailbox	Confirmed. The original credentials keep working on a shared mailbox until the password is reset.
☐	Mailbox under 50 GB, or Exchange Online Plan 2 assigned	Size recorded. An unlicensed shared mailbox is capped at 50 GB.

✓	Step	Evidence
☐	OneDrive institutional records MOVED to the departmental SharePoint site	Destination site + completion date. The move is the retention (M365-12 §6).
☐	Manager has confirmed IN WRITING that nothing institutional remains in the OneDrive	Ticket note. After the licence goes, nobody can check.
☐	Teams chat retention confirmed to meet the two-year floor	Confirmed — or flagged as a gap
☐	CONTENT CONFIRMED PRESENT after retention applied — verified, not assumed	Verification note
☐	Licence removed	Date + SKU
☐	CONTENT CONFIRMED STILL PRESENT after licence removal	Second verification — this is the one that matters
☐	Any additional entitlements removed	List
☐	Licence register updated	Count adjusted

The verification lines exist because the failure mode is silent: reclaim a licence, discover six months later that the content went with it, and there is nothing to restore. For OneDrive the failure is slower and therefore easier to miss — the files behave normally for 60 days, go read-only, are archived on the 93rd, and past a year of nonpayment are at risk even with a hold in place.

Part of the Known Good SOP Catalog by Kevin Zelman, written for small IT shops, contractors and consultants, career-changers and help desk technicians. Adapt the names, tiers and times to your own shop: the times here are cushion, not a promise.